

Olevel economics

Chp:- Demand and Supply

Topic:- Changes in Market

alpha

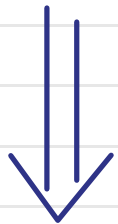
Zarak
Mushtaq



Changes in market

- ① Demand ↑

e.g. Income $\uparrow$ (other factor)



Shift in demand

Demand ↑ e.g. Income ↑

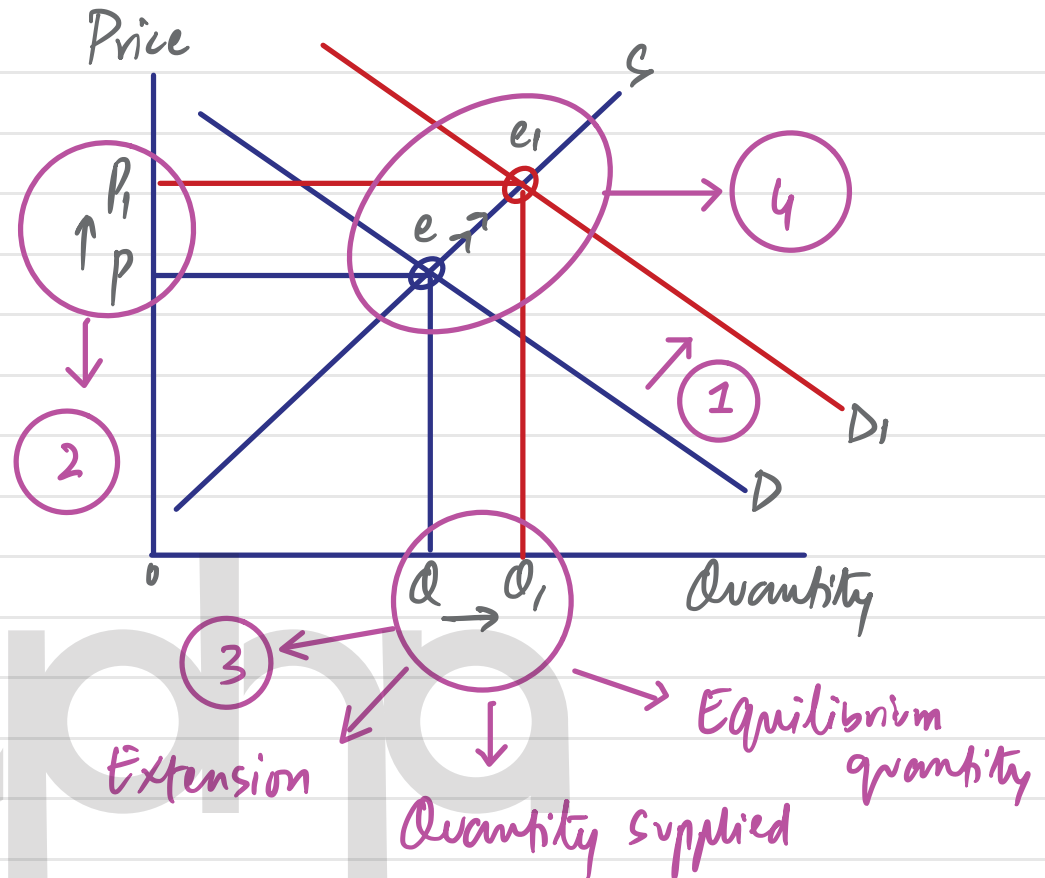
Shortage

Price ↑ (2)

Signal to the producer

Quantity supplied $\uparrow$ (3)

New Equilibrium established (4)



Steps:-

- 1 Demand (Shift)
- 2 Price
- 3 Quantity supplied

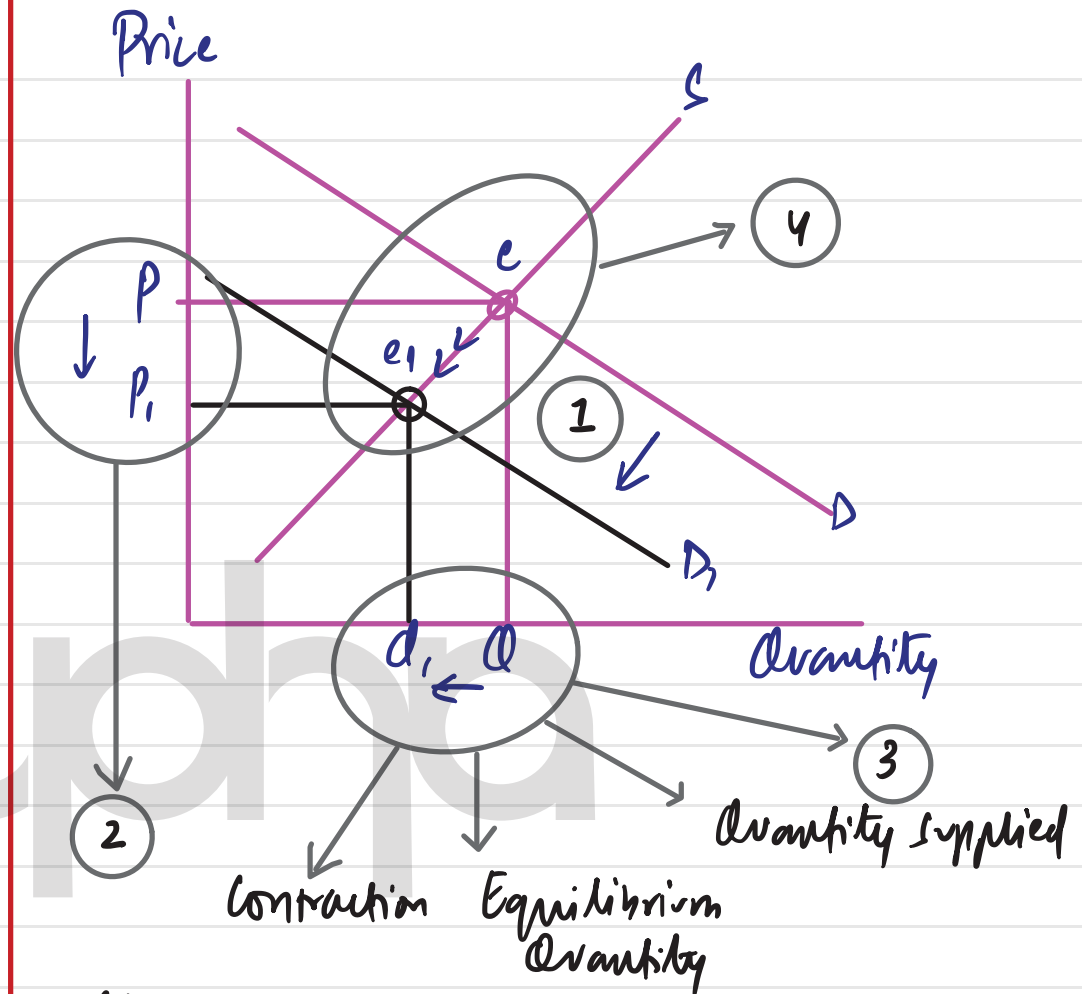
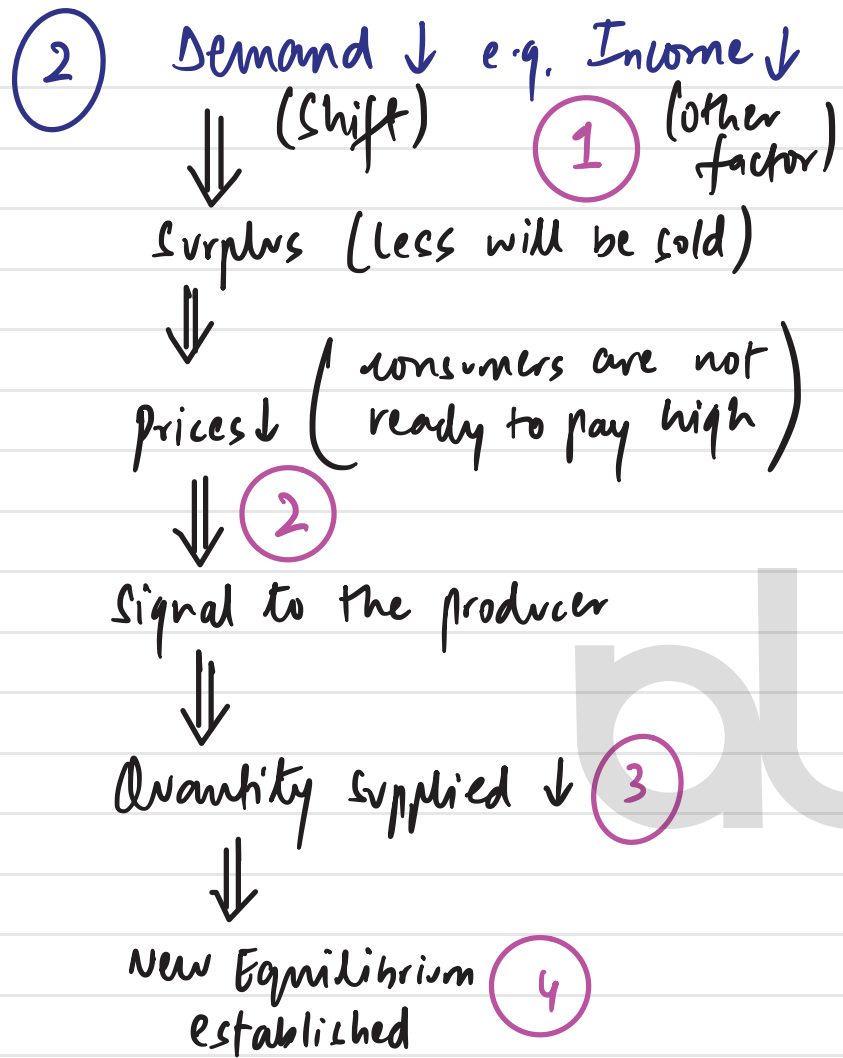
Rule!

Consumer (start)

Producer (End)

Diagram Explained:-

An increase in demand from D to D_1 due to increase in income, creates shortage, causing a rise in equilibrium price from P to P_1 , providing signal to the producer to extend equilibrium quantity (Quantity supplied) from Q to Q_1 , and this is how a new equilibrium point is achieved from e to e_1 . Also showing movement along the supply curve, representing responsiveness of producers, due to changes in demand.



Steps

- (1) Demand (Shift)
- (2) Price
- (3) Quantity supplied

Rule :-

consumers (Start)
 ↓
 Producers (End)

Diagram Explained:-

A decrease in demand from D to D_1 due to decrease in income, creates surplus, causing a fall in equilibrium price from P to P_1 , providing signal to the producer to contract equilibrium quantity (Quantity supplied) from Q to Q_1 , and this is how a new equilibrium point is achieved from e to e_1 . Also showing movement along the supply curve, representing responsiveness of producers, due to changes in demand.

③ Supply ↑ e.g. Subsidy
(Shift) (other factor)

Subsidy

lost ↓



Supply ↑



Surplus



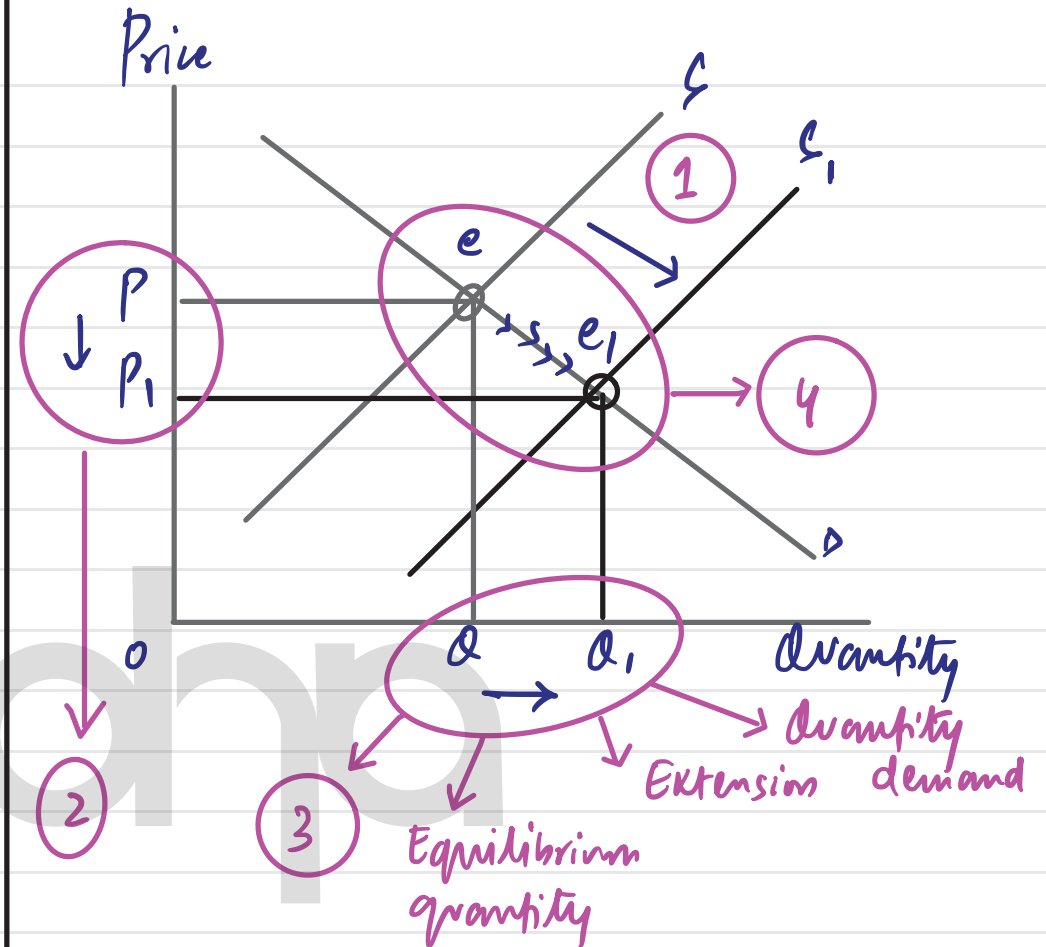
price ↓



Quantity demand ↑ (3)



New Equilibrium established (4)



Steps

- 1 Supply (Shift)
- 2 Price
- 3 Quantity demanded

Rule 1

Producer (Start)
↓
Consumer (End)

Diagram Explained:-

An increase in supply from S to S_1 due to provision of subsidy creates surplus, causing a fall in equilibrium price from P to P_1 , providing signal to the consumer to extend equilibrium quantity (Quantity demanded) from Q to Q_1 , and this is how a new equilibrium point is achieved from e to e_1 . Also showing movement along the demand curve, representing responsiveness of consumers, due to changes in supply.

④ Supply ↓ e.g. Indirect tax
(Shift) (other factors)

Indirect tax e.g. sales tax

↓
Cost ↑

↓
Supply ↓ ①

↓
Burden on firm

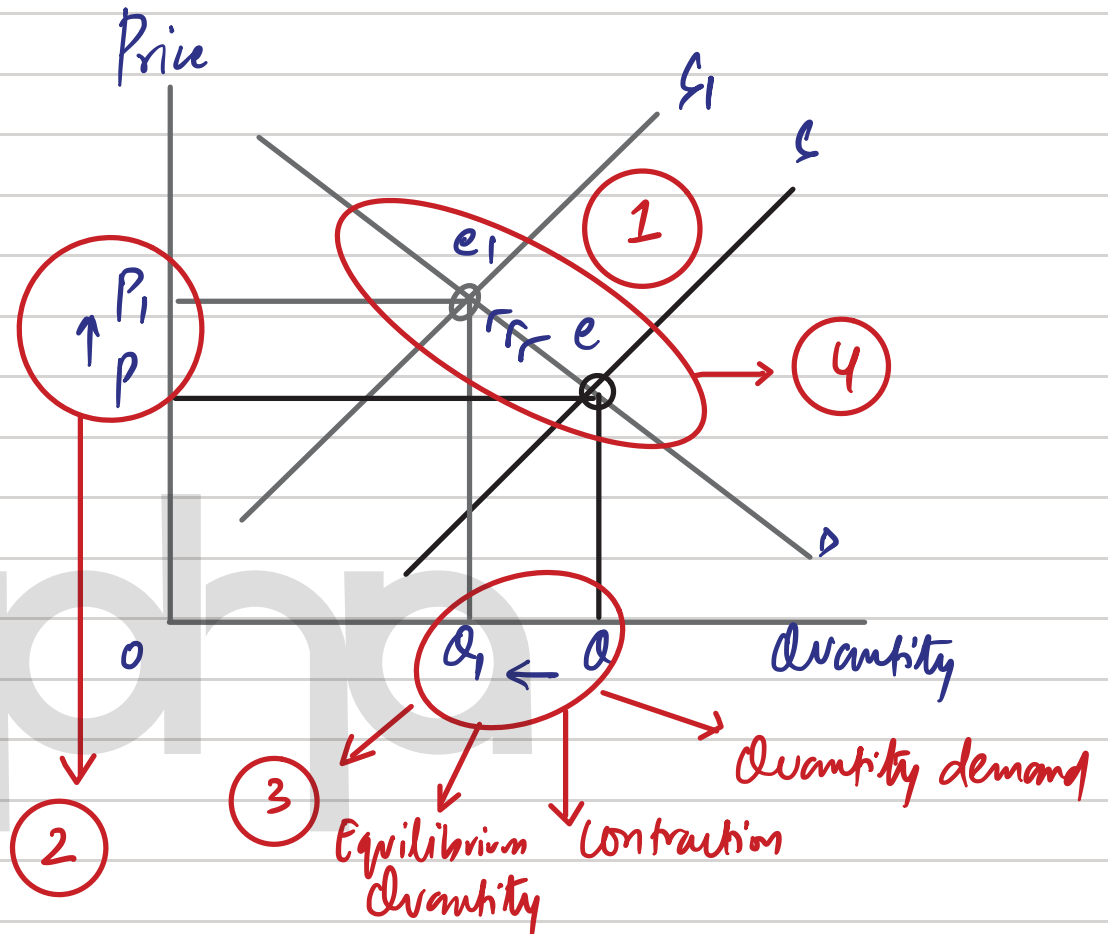
↓
passed to consumers

↓
Prices ↑ ②

↓
reaction by consumers

↓
Quantity demand ↓ ③

↓
New Equilibrium established ④



- Steps
- 1 Supply (Shift)
 - 2 Price
 - 3 Quantity demand

Rule!
Producer
↓
Consumer

Diagram Explained:-

A decrease in supply from S to S_1 due to imposition of indirect tax creates shortage, causing a rise in equilibrium price from P to P_1 , providing signal to the consumer to contract equilibrium quantity (Quantity demanded) from Q to Q_1 , and this is how a new equilibrium point is achieved from e to e_1 . Also showing movement along the demand curve, representing responsiveness of consumers, due to changes in supply.

Questions

Marks: 24

- Q1 Using a diagram, explain the effect of increase in income on equilibrium price and equilibrium quantity? 6
- Q2 Using a diagram, explain the effect of increase in direct tax on equilibrium price and equilibrium quantity? 6
- Q3 Using a diagram, explain the effect of provision of subsidy on equilibrium price and equilibrium quantity? 6
- Q4 Using a diagram, explain the effect of imposition of indirect tax on equilibrium price and equilibrium quantity? 6